

Foreword

Whilst I have been a finance professional for thirty-five years, it is only in the past twenty years or so that I have made a conscious effort to save and invest in a structured manner. Initially, I relied on wealth managers to advise me about my investments, but soon I realized that most of them are focused on their wealth, not mine. Therefore, around fifteen years ago, I set up my family office, which is staffed by hand-picked chartered accountants and chartered financial analysts. However, such is the paucity of sensibly priced and structured investment products in the Indian market that even my family office has to be very selective to enable me to preserve and grow my wealth.

Given this backdrop, I was more than intrigued when four years ago Ambit Capital's research team published its first Coffee Can Portfolio. Whilst I wasn't an initial convert to the idea of buying a bunch of high-quality stocks and then leaving it untouched for a decade, I soon began hearing from my friends that they were putting money into this construct. Initially, Ambit Capital offered this portfolio to private clients in an advisory arrangement, i.e. the corpus was invested by the clients in their own name but with Ambit's wealth managers helping with the stock selection. Then, after Saurabh's book, *The Unusual Billionaires*, became a runaway hit within months of its publication in August 2016, Ambit Capital started offering the Coffee Can Portfolio in a SEBI-regulated PMS construct. I was one of the first investors in this PMS scheme. Since then the Coffee Can Portfolio has given me impressive returns with low volatility and low transaction costs. I hope it does the same for you.

If the Coffee Can Portfolio is an example of homegrown innovation in the Indian stock market, then Exchange Traded Funds (ETFs)¹ are an example of an idea imported from the US which is finding rapid traction in India. As the